

HEDGEYE DAILY DIGEST

Monday, September 21, 2026 (GMT+8)

Hedgeye closed the week on a single, uncomfortable thesis: **the Fed is tightening into a growth slowdown while inflation is still accelerating** — the classic set-up for **Quad 3 / Quad 4** rotation. Friday's Early Look, written by HAM PM **R. Patrick Kent**, framed the entire market as a "FAFO" trade: **\$3 trillion** of hyperscaler AI obligations, **\$198 billion** in leveraged ETFs, **6.1%** perpetual deficits and closed shipping chokepoints are all carryable risks in Quad 1 and liabilities in Quad 4. Positioning followed the logic: gross longs cut to **19 of a maximum ~30**, cash elevated, and what's left concentrated in inflation-linked assets — **XLE, CORN, BTC, ETHA** — against rate-sensitive shorts in **TLT, ZROZ, LQD, XLU**.

Weekend gap: Hedgeye does not publish Saturday or Sunday. "Today" covers **Friday, September 18 (EDT)**, the most recent full publishing day, plus the **ETF Pro Plus weekly report** posted Sunday evening EDT. "Yesterday" covers **Thursday, September 17**.

TODAY'S PUBLICATIONS

EARLY LOOK — "THE GREAT FINDING OUT"

R. Patrick Kent | 09/18/26 07:38 AM EDT

Kent's note is the week's thematic centerpiece and it is deliberately not a doom call — it is a statement about **when** consequences arrive. His argument: a decade of liquidity has taught investors, human and algorithmic, that the finding-out is always deferred. Valuation has been discarded. The **Shiller CAPE sits at 40.3**, near an all-time high, and **US market cap to GDP is roughly 240%** — versus a **150%** Dot Com peak.

He then walks the inventory of deferred consequences. **\$198 billion** now sits in 2x and 3x leveraged ETFs, of which **TQQQ alone holds \$36.4 billion**; these reset daily and decay in volatile sideways tape, and a cohort that has never traded a Quad 3 or Quad 4 drawdown in them is due a masterclass in compounding in the wrong direction. **July's monthly Quad 4** was the preview.

On AI: hyperscaler off-balance-sheet commitments now exceed **\$3 trillion**. The four largest hyperscalers are committing **\$800 billion of capex in 2026** alone, after **\$448 billion in 2025** and **\$246 billion in 2024**, with **2027 estimated north of \$1 trillion**. Against that, **OpenAI's annualized revenue is ~\$40 billion** and **Anthropic's ~\$65 billion** — run-rate revenue, not free cash flow. Kent reads the recent "safety slowdown" narrative as the labs recognising the moats are thinner than advertised.

On fiscal: the **CBO projects deficits averaging 6.1% of GDP for a decade**, assuming no recession and full employment. Gross federal debt is up nearly **5x in 20 years**, with **\$1 trillion added in the last three months alone**. **Net interest crosses \$1 trillion in fiscal 2026** and **doubles to \$2.1 trillion by 2036** — the fastest-growing line in the federal budget. The fiscal cushion for the next recession is being consumed now.

On supply chains: **Houthi attacks** have pushed **Maersk, Hapag-Lloyd and MSC** to make the **Cape of Good Hope** their permanent default, at roughly **\$1 million in incremental fuel per Asia-Europe voyage**, absorbing about **8% of global container capacity**. Add the **Strait of Hormuz** and the **East-West pipeline** attack, with the **US SPR near its lowest level ever**, and you have inflation inputs no rate hike can fix except by killing demand. Kent points directly at the **high probability of Quad 4 in 1Q27**.

Investment implication: every one of these items is an interesting question in Quad 1 and a liability in Quad 3/4. The **\$3 trillion** becomes a solvency conversation; the **6% deficit** becomes the reason there is no cushion; the leveraged ETF becomes the thing you cannot exit. Position for the regime change, not the headline.

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Risk Range™ Signals — 09/18/26

ASSET	LOW	HIGH	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.81%	5.12%	Bullish
High Yield (HYG)	78.12	79.00	Bearish
Investment Grade Corporates (LQD)	103.5	105.6	Bearish
S&P 500 (SPX)	7513	7727	Bullish
NASDAQ Composite (COMPQ)	25817	26620	Bullish
Russell 2000 (RUT)	2813	2949	Bearish
Health Care (XLV)	163	173	Bullish
Tech Software (IGV)	100	109	Bullish
Volatility Index (VIX)	14.32	18.67	Neutral
U.S. Dollar Index (USD)	99.53	100.81	Bullish
WTI Crude (WTIC)	93.09	107.97	Bullish
Natural Gas (NATGAS)	2.70	2.92	Bearish
Gold Spot (GOLD)	4250	4424	Neutral
Copper Spot (COPPER)	6.29	6.73	Bullish
Silver Spot (SILVER)	63	69	Neutral

Notable 24-hour TREND changes: SPX and COMPQ both flipped from **Neutral** to **Bullish**; VIX went from **Bullish** to **Neutral**; Silver improved from **Bearish** to **Neutral**; Natural Gas deteriorated from **Neutral** to **Bearish**.

KM'S TOP 3 THINGS — RATES / EUROPE / VIX

Keith McCullough | 09/18/26 07:20 AM EDT

McCullough opened on flow crosswinds — **US options expiration** and **SPX gamma going neutral** on the same morning — and then dismissed the bond bounce outright. "Off the highs" for yields is **not a new bull case for bonds**. Nothing has changed in the signals: **2s and 10s are still signalling higher cycle highs at 4.85% and 5.12%**, and the **yield curve has been cut in half since August**, when Hedgeye was long a steepener. He intends to be **back in the box shorting more TLT, ZROZ, LQD and XLU on green**. The **USD Index has broken out on both TRADE and TREND**, with the Yen down **-1.3% overnight**.

On Europe, the flow story is a uniquely American distraction. **German 10-year Bund yields are signalling higher cycle highs at 3.64%**, the **DAX is Bearish TREND and down another -0.7%**, and **Italy led losers at -1.3%**. Hedgeye is **out of all European country exposures** and **short Switzerland via EWL**.

On volatility, the key number is the **VIX TREND Signal Level of 16.43** — bullish above, bearish below. **Short-dated call vol collapsed from 20 to 13** the prior session, torching the panic-put buying that went into the Fed meeting. **SPX TRADE level = 7656**. Immediate-term ranges: **SPX 7513–7727, UST 10yr 4.81–5.12%**.

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THE MACRO SHOW — FRIDAY, SEPTEMBER 18

Ryan Ricci & R. Patrick Kent | 09/18/26 10:21 AM EDT

Bullish mentions: XLE, CORN, BTC, ETHA. Bearish mentions: TLT, ZROZ, LQD, XLU, EWL, QAT.

The show's most important disclosure was positioning. **Approximately 30 longs represents maximum long investment; the portfolio currently holds 19.** Exited positions are not being replaced one-for-one — cash is being allowed to build as signals become less consistent. Remaining longs cluster in inflation and commodity exposure — **XLE, corn, Bitcoin, Ethereum/ETHA** — plus two healthcare positions. Ricci said Keith is hunting for both more longs and more shorts. On the short side, **rate-sensitive exposure remains the principal source of alpha**, with **XLU and ZROZ** singled out alongside **PBD, QAT and PRN**.

On oil, Friday's roughly **-3% daily decline** was framed as normal retracement inside a **20–30% one-month advance**, with crude still nearer the top of its Risk Range. Prediction markets put only an **18% probability** on Strait of Hormuz traffic normalising by year-end. Kent flagged that **physical Brent-linked pricing sits around \$120–\$125**, disconnected from futures, and that the improvised shipping environment is adding at least **\$20 per barrel**. The **SPR is around its lowest reported level since the early 1980s**.

On the sequencing, Ricci is explicit: **inflation first, growth slowdown later**. Hedgeye's work points to **another acceleration in the next monthly inflation report**, pulling rate-hike expectations forward toward **October or December**, followed by **GDP growth roughly halving** — at which point markets reverse toward cut expectations.

The newest wrinkle is credit. **CCC spreads have widened above 900 basis points** while higher-quality high yield holds up, putting **CCC-to-BB at an extreme versus ~30 years of history**. Borrowing costs for weaker credits are approaching **~15%**. Kent tied that to weakening financials (**more financial names dropping off long lists; the KBW Bank Index appears to have turned negative**) and to industrials, citing **J.B. Hunt's guidance cut** on higher diesel and weaker activity. With **IWM already Bearish TREND** while SPX and NASDAQ remain bullish, the market is **narrowing, not broadening**.

SIGNAL STRENGTH STOCKS — 35 STOCKS

09/18/26 11:36 AM EDT

The list shrank again, to **35 names (2 added, 5 removed)** — down from **38 Thursday, 42 Wednesday and 52** on Monday morning. **Added: DGX, WST. Removed: CPAY, ROKU, U, DDOG, RSG.** The steady contraction is a breadth signal in its own right and corroborates the narrowing-market call on the Macro Show.

ETF PRO PLUS — NEW WEEKLY REPORT

09/20/26 04:20 PM EDT | prices through 9/20/2026

The refreshed book runs roughly **17 bullish versus 22 bearish** positions. The **bullish** side is dominated by inflation, hard assets and defensives: **AAAU** (gold, \$43.14), **IBIT** (Bitcoin, \$46.02), **ETHA** (Ethereum, \$19.92, added 9/16), **XLE** (energy, \$64.31, added 9/16), **CORN** (\$19.70), **EWZ** (Brazil, \$37.52), **XLV/FXH** (healthcare), **IGV** (software, \$104.35), **DBMF** (managed futures) and **PFIX** (interest-rate hedge, \$53.23, added 9/17).

The **bearish** side is a near-pure short-duration-and-cyclicals book: **TLT** (\$81.25), **ZROZ** (\$58.43), **LQD** (\$104.70), **XLU** (\$41.10), **JOJO**, **XLI** (\$169.75), **PRN**, **JOET**, **IWM** (\$284.10), **JETS**, **PBD**, **SMH** (\$573.00, added 9/17), **QTUM**, **UFO**, plus international shorts in **EWL**, **EWA**, **INDA**, **EWG** (Germany, added 9/18) and **QAT**.

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CAPITAL ALLOCATION PRO — DAILY DASHBOARD

Andrew Nanai & David Salem | 09/18/26 08:10 AM EDT

Model Portfolio changes took effect on **Thursday, September 17th** closing prices. The team also flagged a **ticker substitution**: commodity tickers **BNO (Brent)** and **USO (WTI)** are now tracked, while **MBB** (mortgage-backed) and **PFF** (preferred) come out of coverage — itself a small tell on where the desk thinks the opportunity set sits. **Trend and Tail levels for the 68 covered ETFs** were last refreshed on **August 28th** closing prices.

MACRO WEEK SUMMARY NOTES — SEPTEMBER 18TH

From The Desk | 09/18/26 04:59 PM EDT

The weekly wrap-up package, covering the **Macro Dashboard**, **Weekly Macro Commentary**, **VIX Gauge**, **US Monthly Quad Forecast**, **Chart of the Week** and **Market Insights**. Detail sits behind the linked full report rather than in the feed item.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — "WILL SPY HOLD TREND?"

Keith McCullough | 09/17/26 07:31 AM EDT

What: McCullough's process note, framed around Andy Reid's laminated play sheet as an analogy for the **TRADE/TREND Risk Range™ Signal Sheet** updated at **4:35 AM** daily.

Why: The live question Thursday was not bond yields — the desk had seen that coming for months — but whether **SPY would break intermediate-term TREND**.

Who / what levels: **SPX TRADE = 7651, TREND = 7501**, Risk Range **7501–7649**, against an all-time closing high of **7798**. Alpha Codes (TRADE/TREND): **IWM 295/291, QQQ 721/705, WTI 91/87, UST 10yr 4.74/4.56, UST 2yr 4.37/4.18**.

Key numbers: **SPY down 7 of the last 8 days; SPX implied volatility went out at a +116% premium to 30-day realized**.

Takeaway: Signals said buy the weakness in **XLE** and **IGV**, both of which held. **OIH** broke TRADE support and got trimmed; anything breaking both TRADE and TREND is stopped out. **IWM** had already broken both, which is why Hedgeye is short it. A SPY rally is most likely after the selloff toward the low end of the range, after the panic-hedging, and only if TREND support holds.

THE MACRO SHOW — THURSDAY, SEPTEMBER 17

09/17/26 11:05 AM EDT

What: McCullough's fullest articulation of the **Fed-tightening-into-a-slowdown** thesis, plus an unusually explicit Mag 7 book.

Why: US growth is approaching a sequential peak after roughly **4% third-quarter growth** while the Fed stays hawkish. The expected consequence is further **yield-curve flattening and inversion**, with signals pointing to higher cycle highs of **4.84% on 2s** and **5.12% on 10s**. The **Inflation Nowcast rose to ~3.61% (+21 bps)**, and **four of the next five months carry accelerating inflation characteristics**, which makes a dovish December pivot difficult.

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Who: Long MSFT, AAPL, META — Meta a notable reversal from a prior Bearish TREND short. **Short** AMZN, GOOGL, TSLA — Amazon described as an extremely consensus hedge-fund long, Google a former top long idea now on the short side. **NVDA neither**; McCullough would rather own software than semis. He also called for **more shorts in banks**, naming Citigroup and Goldman Sachs.

Key numbers: VIX TREND ~16.56 — below it, SPX could rally through 7,649–7,651 and regain Bullish TRADE. Gamma flip around 7,622. IWM ~6.8% off its all-time high at fresh three-month lows. Gold TRADE 4,334 / TREND 4,251. Long-only account cut from ~30 positions to 20.

Takeaway: Five shorts were covered for gains into the low end of the ranges and MSFT was bought — fading panic, not abandoning the macro. All five could go back on if the market bounces and fails at resistance. The Canadian Dollar was fully exited, with proceeds partly redeployed into Bitcoin and Ethereum, and XLE was added on the ~3% decline.

MOMO TRACKER — MAG7 (-0.1%), HIGH BETA MO (+3.3%)

Christian Drake & Ryan Ricci | 09/17/26 07:42 AM EDT

What: The daily momentum dashboard, headlined by Mag7 -0.1% against High Beta Momentum +3.3%, with negative gamma and deferred volatility in focus and the same "Will SPX hold TREND?" question.

Why: The dispersion between a flat Mag7 and a sharply higher high-beta momentum basket is the rotation signal — leadership moving out of the crowded complex.

Takeaway: Consistent with the Macro Show's read that negative gamma amplifies moves in both directions, and that the tactical bounce set-up came from positioning, not from improving fundamentals. The dashboard's charts sit behind the product page.

CAPITAL ALLOCATION PRO — MODEL PORTFOLIO CHANGES, EFF. 9/17/2026

Andrew Nanai & David Salem | 09/17/26 01:17 PM EDT

What: Model Portfolio changes executed on Thursday, September 17th closing prices — the second change in four sessions after 9/14.

Takeaway: The cadence of changes (9/14, 9/17) matches the broader desk behaviour of de-risking and rotating rather than holding static exposure through the Quad transition.

SIGNAL STRENGTH STOCKS — 38 STOCKS

09/17/26 11:51 AM EDT

What: 38 names (1 added, 5 removed), down from 42 the prior day.

Takeaway: Net removals for a fourth consecutive session — single-stock breadth deteriorating in lockstep with the index-level narrowing.